THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

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CLASS 9 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 3

Chapter 1: **The Problem of Choice (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Which of these is NOT an example of a scarce resource? 1

(a) Fertile land **(b)** Air available freely in an open field

(c) Clean drinking water **(d)** Skilled labour

2. Why would a government supply street lights but not luxury cars? 1

(a) Private firms cannot make cars

(b) Cars are cheap

(c) Lights bring profit

(d) Street lights are public goods used by all

3. Assertion (A): The opportunity cost of a movement along a PPC may rise. Reason (R): Resources are not equally suited to producing both goods. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

4. Assertion (A): Economic Survey is presented after the Union Budget. Reason (R): It guides budget planning. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

5. Assertion (A): Choosing millets over sugarcane may have a positive opportunity cost. Reason (R): The extra profit from sugarcane is given up. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

6. In India before 1991 a firm needed a licence to expand. A likely effect was 1

(a) more consumer choice **(b)** limited competition

(c) cheap imports **(d)** quick growth of many firms

7. Assertion (A): A PPC slopes downward. Reason (R): More of one good can be produced only by using resources taken from the other. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

8. Assertion (A): A pure planned economy is rare today. Reason (R): Almost all economies are mixed in nature. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

9. **Assertion (A):** A PPC slopes downward. 1
Reason (R): Producing more of one good means using resources taken away from the other good.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

10. **Assertion (A):** Street lights and public parks are usually provided by the government. 1
Reason (R): Such public goods are available to all without exclusion and may not yield direct profit to private firms.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. A country shifts to export-oriented industries. State one opportunity cost. 2

12. Why did India's pre-1991 economy face shortages despite planning? 2

13. Explain: 'Scarcity is not poverty'. 2

14. A PPC point (60, 60) lies outside the farmer's curve through C (50,70) and D (75,40). Is it attainable? Explain. 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Table: farmer can produce (0 barley, 100 wheat) or (100 barley, 0 wheat). A neighbour says each kg of barley always costs 1 kg wheat. Evaluate this using the farmer's figures. 3

16. Analyse why economists examine both opportunity cost and sustainability when advising governments. 3

17. How is the idea of opportunity cost relevant to students? 3

OR

Explain why a purely market economy could neglect the poor. 3

18. Explain how a family's choices reflect the three economic questions. 3

OR

A town can build a stadium or a hospital. Explain the opportunity cost and how the town might decide. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. **Case study.** A garment firm in Tiruppur finds that wages of workers have risen sharply, while the cost of stitching machines has fallen. Earlier the firm employed 100 workers; now it plans to run 10 machines instead. The firm also decides to make low-cost school uniforms for daily buyers rather than costly designer clothes. 5
(i) Which of the three key questions of economics is the firm answering when it chooses machines or workers?
(ii) What is meant by a labour-intensive method?
(iii) Which method is the firm moving towards?
(iv) Which key question is answered by choosing uniforms instead of designer clothes, and why does a change in the cost of labour influence the firm's technique?

20. Explain how a firm decides what, how and for whom to produce, with a garment example. 5

OR

Critically examine the role of the government in a market economy. 5

END OF QUESTION PAPER — Total: 40 Marks